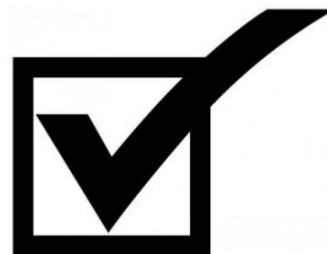


**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



College Accounting (105)

STATE 2025

CONCEPT KNOWLEDGE:

Multiple Choice (15 @ 2 points each) _____ (30 points)

APPLICATION KNOWLEDGE:

Short Answer _____ (39 points)

Problem 1 – Journal Entries _____ (55 points)

Problem 2 – Sales Entries _____ (66 points)

TOTAL POINTS _____ ***(190 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

- | | | |
|------|-------|-------|
| 1. C | 6. B | 11. A |
| 2. D | 7. A | 12. B |
| 3. D | 8. B | 13. A |
| 4. D | 9. A | 14. B |
| 5. C | 10. D | 15. A |

Short Answer (39 Points)

1. Consider the following information for Ramirez Company, which uses a perpetual inventory system: **(18 points; 3 points each)**

	Cost of Goods Sold	Ending Inventory
FIFO	\$2,970	\$2,250
LIFO	\$3,140	\$2,080
Weighted Average	\$3,048	\$2,172

2. During its first month of operations, Chipper Corp. **(6 points; 3 points each)**

Gross Profit	\$117,850
Gross Profit Percentage	79.7%

3.
(15 points; in journal entry 2 points for each account and 1 point for each amount; 3 points for Allowance for Doubtful Accounts Balance)

a.

General Journal		
Account	Debit	Credit
Bad Debt Expense	5,065	
Allowance for Doubtful Accounts		5,065

b.

General Journal		
Account	Debit	Credit
Allowance for Doubtful Accounts	3,081	
Accounts Receivable		3,081

c.

Allowance for Doubtful Accounts Balance	\$30,931
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Problem 1: Journal Entries (55 Points)

Grader: 3 points for each account and 2 points for each amount; 5 points for last date

General Journal			
Date	Account	Debit	Credit
Oct. 1	Accounts Receivable	10,000	
	Sales Revenue		10,000
Nov. 1	Notes Receivable	10,000	
	Accounts Receivable		10,000
Dec. 31	Interest Receivable	169	
	Interest Revenue		169
Jan. 29	Cash	10,250	
	Notes Receivable		10,000
	Interest Receivable		169
	Interest Revenue		81

Problem 2: Sales Entries (66 points)**Grader: 2 points each account name and 1 point each amount**

General Journal			
Date	Account	Debit	Credit
Aug. 5	Inventory	30,000	
	Accounts Payable		30,000
9	Inventory	2,500	
	Cash		2,500
10	Accounts Payable	2,000	
	Inventory		2,000
15	Accounts Payable	28,000	
	Cash		27,440
	Inventory		560
20	Accounts Receivable	3,000	
	Sales Revenue		3,000
	Cost of Goods Sold	2,200	
	Inventory		2,200
27	Sales Returns & Allowances	1,000	
	Accounts Receivable		1,000
	Inventory	800	
	Cost of Goods Sold		800
28	Freight-Out	100	
	Cash		100
31	Cash	1,800	
	Sales Discounts	200	
	Accounts Receivable		2,000